

Document 20. Supply-Side Policies (SSPs)

Topic overview. Supply-side policies raise the productive capacity of an economy. They are the only policy class that can deliver *sustainable, non-inflationary* long-run growth, but operate with long lags.

Section A. Definitions

Short-run SSP	Lowers production costs (e.g. subsidies, tax cuts, deregulation); SRAS→.
Long-run SSP	Raises productive capacity (skills, capital, R&D, infrastructure); LRAS→.
Market-based SSP	Reduces government interference; lets prices and incentives work.
Interventionist SSP	Government invests directly (education, infrastructure, R&D, industrial policy).

Section B. Market-Based SSPs

- **Tax cuts:** corporate income tax cuts incentivise investment; personal income tax cuts incentivise labour supply.
- **Deregulation:** lower compliance costs, easier business formation, removing licence barriers.
- **Labour-market reforms:** lower minimum wage, reduce union power, flexible working hours.
- **Privatisation:** state firms transferred to private hands to improve efficiency.

Section C. Interventionist SSPs

- **Education & training:** SkillsFuture, ITE, polytechnics, universities.
- **R&D:** A*STAR, RIE 2025 grants, IP framework.
- **Infrastructure:** MRT expansion, Tuas Port, Changi Terminal 5, broadband.
- **Industrial policy:** EDB sectoral roadmaps (semiconductors, biotech, fintech).
- **Immigration policy:** high-skilled visas to ease structural labour shortages.

Section D. Question Type: Evaluate SSPs for Singapore

Step 1. Identify the long-run constraint (e.g. ageing workforce, AI disruption, climate transition).

Step 2. Match SSP to constraint:

Demographic: SkillsFuture, raised retirement age, immigration via COMPASS.

AI: continuous learning credits, sectoral reskilling.

Climate: Green Plan 2030, EV adoption, carbon tax revenue recycled into R&D.

Step 3. Evaluate: cost, time lag, complementarity with demand-side policies, distributional effects.

Step 4. Conclude: SSPs are necessary but not sufficient; pair with demand management and macroprudential measures.

Section E. Trade-offs and Limits

Limitation	Explanation
Time lag	5–10 year payoff; cannot address short-run recession.
Fiscal cost	Subsidies, education spending, R&D grants.
Equity concerns	Tax cuts often benefit top earners more.
Complementarity	SSPs only effective if AD is sufficient (no point training workers for jobs that don't exist).
Brain drain	Skills training can be lost to emigration if labour market is open.

Section F. Worked Example

Worked Example 1: SkillsFuture evaluation

Launched 2015, SkillsFuture provides every Singapore Citizen aged 25+ with S\$500 in credits (top-ups in 2020 and 2024), plus a Mid-Career Enhanced Subsidy (40+). Combined with Career Conversion Programmes and SGUnited initiatives. *Effectiveness*: take-up reached over 660k unique participants by 2023; surveys show wage premium for completers. *Limits*: low take-up among lower-educated workers; some courses of unclear quality. *Conclusion*: a flagship long-run SSP, complemented by employer-driven CCPs to align skills with industry demand.